

Taxation and Regulation

Study Framework
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Generated February 26, 2026

Contents

Concept Maps

Decision Trees

Formula Sheet

Reference Tables

Mnemonics

Concept Maps

Individual Tax Formula

Individual Income Tax Computation

Gross Income (§61)

Wages, salaries, tips

Interest and dividends

Business income (Sch C)

Capital gains/losses

Rental income (Sch E)

Alimony (pre-2019 agreements)

Adjustments (Above the Line)

IRA contributions

Student loan interest

Self-employment tax (50%)

HSA contributions

Alimony paid (pre-2019)

= Adjusted Gross Income (AGI)

Deductions (Below the Line)

Standard deduction OR

Itemized deductions (Sch A)

= Taxable Income

Tax Computation

Apply tax rate brackets

Credits (nonrefundable, then refundable)

+ Self-employment tax, AMT, etc.

Payments and withholding

= Tax due or refund

Business Entity Taxation

Entity Types

C Corporation

- | Taxed at entity level (21% flat)
- | Double taxation on dividends
- | Unlimited shareholders

S Corporation

- | Pass-through (K-1)
- | d100shareholders
- | One class of stock
- | Shareholder basis: stock + debt to shareholder

Partnership

- | Pass-through (K-1)
- | Flexible allocations
- | Basis: capital + share of all liabilities
- | No entity-level tax

Sole Proprietorship

- | Schedule C
- | Self-employment tax
- | No separate entity

Property Transactions — Basis Concepts

Basis Determination

Purchased Property

- | Cost basis = Price + acquisition costs

Gifted Property

- | Gain basis: Donor's adjusted basis
- | Loss basis: Lower of donor's basis or FMV at date of gift
- | Add gift tax paid on appreciation

Inherited Property

- | Stepped-up basis to FMV at date of death
- | Alternate valuation: FMV 6 months after death
- | Holding period always long-term

Like-Kind Exchange (§1031)

- | Basis of old property
- | Boot received + Boot paid
- | + Gain recognized
- | = Basis in new property

Tax Credits Overview

Tax Credits

Nonrefundable Credits

- Child and Dependent Care Credit
- Lifetime Learning Credit
- Adoption Credit
- Foreign Tax Credit
- General Business Credit

Refundable Credits

- Earned Income Credit (EIC)
- Child Tax Credit (refundable portion)
- American Opportunity Credit (40%)
- Premium Tax Credit

Circular 230 — Enforcement and Penalties

IRS Enforcement Framework

Practitioner Sanctions (OPR)

- Censure (public reprimand)
- Suspension from practice
- Disbarment from practice
- Monetary penalty

Preparer Penalties

- §6694(a): Unreasonable position — \$1,000 or 50% of income
- §6694(b): Willful/reckless — \$5,000 or 75% of income
- §6695: Failure to sign/PTIN — \$50 per return

Statute of Limitations

- General: 3 years from filing/due date
- 25% omission: 6 years
- Fraud or no return filed: unlimited

Passive Activity Loss System

Loss Limitation Tiers (S Corp / Partnership)

Tier 1 — Basis Limitation

- | S Corp: stock basis + direct loans
- | Partnership: outside basis (incl. liabilities)

Tier 2 — At-Risk Limitation (§465)

- | Cash + basis of property contributed
- | + Recourse borrowing
- | + Qualified nonrecourse real estate financing

Tier 3 — Passive Activity Limitation (§469)

- | Passive losses offset passive income only
- | \$25K rental allowance (active participation)
- | Full release on complete disposition

Tier 4 — Excess Business Loss (§461(l))

- | \$322K single / \$644K MFJ (2026)
- | Excess becomes NOL carryforward

Bankruptcy Chapters — Key Features

Bankruptcy (Title 11, U.S. Code)

Chapter 7 — Liquidation

- | Trustee sells nonexempt assets
- | Individuals must pass means test
- | Discharge of most debts (3–6 months)
- | Corporations do not receive discharge
- | Nondischargeable: student loans, alimony, recent taxes, fraud debts

Chapter 11 — Reorganization

- | Debtor continues operating as DIP
- | Plan of reorganization proposed by debtor
- | Creditor vote: majority in number + 2/3 in dollar amount per class
- | Court can confirm via cramdown
- | Available to individuals and businesses

Chapter 13 — Individual Repayment

- | Individuals with regular income only
- | Unsecured debts below \$2,830,000 (2026)
- | 3–5 year repayment plan
- | Debtor retains all property
- | Must pass best interests test
- | Broader discharge than Chapter 7

Common to All Chapters

- | Automatic stay on filing (§362)
- | Exceptions: criminal proceedings, domestic support
- | Priority: secured ' admin ' wages ' taxes ' general unsecured

Tax-Exempt Organizations — Section 501(c)(3)

501(c)(3) Tax-Exempt Organizations

Qualification

- Organizational test (governing documents)
- Operational test (primarily exempt activities)
- Dissolution clause required
- No private inurement

Public Charity vs. Private Foundation

- Public charity: broad public support (1/3 test)
- Private foundation: presumed unless proved otherwise
- Churches, schools, hospitals = automatic public charity

Prohibited Activities

- Political campaign activity — absolute prohibition
- Lobbying — limited (not substantial part)
- Private inurement — no earnings to insiders

Private Foundation Excise Taxes

- §4940: 1.39% on net investment income
- §4941: Self-dealing (10% on self-dealer)
- §4942: Failure to distribute 5% of assets
- §4943: Excess business holdings (>20%)
- §4944: Jeopardizing investments
- §4945: Taxable expenditures

UBIT (Three-Part Test)

- Trade or business
- Regularly carried on
- Not substantially related to exempt purpose
- \$1,000 specific deduction

Decision Trees

Capital vs. Ordinary Gain/Loss

Is the asset a capital asset (not inventory, receivables, depreciable business property, or §1231 asset)?

Yes: Was the asset held for more than one year?

Yes: Long-term capital gain/loss (LTCG/LTCL) — preferential rates (0%/15%/20%)

No: Short-term capital gain/loss (STCG/STCL) — ordinary rates

No: Is the asset §1231 property (depreciable business property held >1 year)?

Yes: Is the net of all §1231 gains and losses a gain?

Yes: Treat as long-term capital gain (subject to §1245/§1250 depreciation recapture on ordinary portion)

No: Treat as ordinary loss

No: Ordinary income/loss

Like-Kind Exchange Qualification (§1031)

Is the property real property (land or buildings)?

Yes: Is the property held for use in a trade/business or for investment (not personal use or inventory)?

Yes: Is the exchange for other real property of like kind?

Yes: Qualifies for §1031 — gain deferred to extent no boot received

No: Does not qualify — fully taxable exchange

No: Does not qualify — must be business/investment property

No: Does not qualify — §1031 applies only to real property (after TCJA 2017)

S Corporation Eligibility

Is the entity a domestic corporation?

Yes: Does it have ≤100 shareholders (family members count as one)?

Yes: Are all shareholders individuals, estates, certain trusts, or tax-exempt organizations?

Yes: Does it have only one class of stock?

Yes: Eligible for S election — file Form 2553

No: Not eligible — only one class of stock allowed

No: Not eligible — no C corps, partnerships, or nonresident aliens as shareholders

No: Not eligible — exceeds 100-shareholder limit

No: Not eligible — must be a domestic corporation

Passive vs. Active vs. Portfolio Income

Is the income from rental activity or a business in which the taxpayer does NOT materially participate?

Yes: Is it rental activity (regardless of participation level)?

Yes: Does the taxpayer qualify as a real estate professional (>750 hrs, >50% of services)?

Yes: Active income if the taxpayer materially participates in each rental; otherwise passive

No: Passive income — subject to §469 passive loss limits (\$25K rental allowance may apply)

No: Passive income — losses limited to passive income only

No: Is the income from interest, dividends, annuities, or capital gains on investment property?

Yes: Portfolio income — not passive, cannot be offset by passive losses

No: Active (nonpassive) income — wages, active business income, material participation income

Involuntary Conversion Deferral (§1033)

Was property destroyed, stolen, seized, or condemned (involuntary conversion)?

Yes: Did the taxpayer receive insurance proceeds or condemnation award exceeding adjusted basis (gain realized)?

Yes: Did the taxpayer reinvest in qualified replacement property within the replacement period?

Yes: Was the full amount reinvested (cost of replacement = amount realized)?

Yes: No gain recognized — full deferral; new basis = cost - deferred gain

No: Gain recognized = amount realized - cost of replacement (partial deferral)

No: Full gain recognized — no deferral available

No: No gain to defer — loss may be deductible (casualty loss rules apply)

No: §1033 does not apply — consider §1031 or other provisions

UBIT Three-Part Test

Is the activity a trade or business (carried on for the production of income)?

- Yes:** Is the trade or business regularly carried on (frequency and continuity comparable to commercial activity)?
 - Yes:** Is the trade or business NOT substantially related to the organization's exempt purpose?
 - Yes:** Does a statutory exclusion apply (volunteers, donated goods, passive income, convenience)?
 - Yes:** Excluded from UBIT despite meeting the three-part test
 - No:** Subject to UBIT — net income taxed at corporate or trust rates
 - No:** Not subject to UBIT — activity is related to exempt purpose
 - No:** Not subject to UBIT — activity is not regularly carried on
- No:** Not subject to UBIT — not a trade or business

Which Court to File In — Tax Litigation

Can the taxpayer pay the full disputed tax amount before filing suit?

- Yes:** Does the taxpayer want a jury trial?
 - Yes:** File in U.S. District Court (only court offering jury trials; appeals to geographic circuit)
 - No:** Is there favorable precedent in the Federal Circuit (as opposed to the taxpayer's geographic circuit)?
 - Yes:** File in Court of Federal Claims (Washington, D.C. only; appeals to Federal Circuit)
 - No:** File in U.S. District Court (local venue; appeals to geographic circuit) or Court of Federal Claims based on strategic preference
- No:** Is the disputed amount \$50,000 or less and the taxpayer willing to waive appeal rights?
 - Yes:** File in Tax Court — Small Case Division (simplified procedures, no appeal, no prepayment required)
 - No:** File in U.S. Tax Court — Regular Division (no prepayment required; specialized judges; appeals to geographic circuit)

Is the Communication Privileged? — Tax Practitioner Analysis

Is the practitioner an attorney (with attorney-client privilege)?

- Yes:** Attorney-client privilege applies in both civil and criminal tax matters (broadest protection)
- No:** Is the practitioner a CPA, enrolled agent, or enrolled actuary (federally authorized)?
 - Yes:** Does the communication involve tax advice (not merely return preparation)?
 - Yes:** Is the matter a noncriminal tax proceeding (before IRS or in federal court)?
 - Yes:** Does the communication relate to promoting or participating in a tax shelter?
 - Yes:** Section 7525 privilege does NOT apply — tax shelter exception
 - No:** Section 7525 privilege APPLIES — communication is protected in this noncriminal proceeding
 - No:** Section 7525 privilege does NOT apply — criminal matters and state proceedings are excluded
 - No:** Section 7525 privilege does NOT apply — only tax advice is protected, not return preparation activities
 - No:** No practitioner privilege available — only attorneys and federally authorized practitioners have privilege protections

Filing Status Determination

Is the taxpayer married on December 31 of the tax year?

Yes: Does the taxpayer want to file jointly with the spouse?

Yes: Married Filing Jointly (MFJ) — \$30,750 standard deduction (2026); joint and several liability

No: Did the taxpayer live apart from the spouse for the last 6 months of the year, maintain a home for a qualifying child, and file separately?

Yes: Head of Household (considered unmarried) — \$23,100 standard deduction (2026)

No: Married Filing Separately (MFS) — \$15,375 standard deduction (2026); if one spouse itemizes, the other must also itemize

No: Did the taxpayer's spouse die in one of the two prior tax years, and does the taxpayer maintain a home for a dependent child?

Yes: Qualifying Surviving Spouse (QSS) — \$30,750 standard deduction (2026); available for 2 years after year of death

No: Does the taxpayer pay more than half the cost of a home for a qualifying person (child, parent, or qualifying relative)?

Yes: Head of Household (HOH) — \$23,100 standard deduction (2026); parent need not live with taxpayer

No: Single — \$15,375 standard deduction (2026)

Formula Sheet

Adjusted Gross Income (AGI)	Gross Income	Above-the-Line Deductions
Taxable Income	AGI (Standard Deduction or Itemized Deductions) QBI Deduction	
Self-Employment Tax	Net SE Income $\times$ 92.35% $\times$ 15.3% (first \$176,100 SS + unlimited Medicare)	50% is deductible above-the-line. Additional 0.9% Medicare on SE income over \$200K/\$250K.
QBI Deduction (§199A — simplified)	Lesser of: 20% of QBI OR 20% of Taxable Income before QBI deduction	Subject to W-2 wage and UBIA limits for taxpayers above income thresholds
Child Tax Credit	\$2,000 per qualifying child under 17	Phases out at \$200K (single) / \$400K (MFJ). Up to \$1,700 refundable as Additional CTC.
Gain on Property Sale	Amount Realized	Adjusted Basis
Amount Realized	Cash + FMV of Property Received + Liabilities Assumed by Buyer	
	Selling Expenses	
Adjusted Basis	Original Basis + Improvements	Depreciation Allowed or Allowable
Gift Basis (for gain)	Donor's Adjusted Basis + Gift Tax on Appreciation	For loss, use lower of donor's basis or FMV at gift date
Like-Kind Exchange — Boot Gain	Gain Recognized = Lesser of (Gain Realized, Boot Received)	Losses are never recognized in a §1031 exchange
Like-Kind Exchange — New Basis	Basis of Old Property	
	Boot Received + Boot Paid + Gain Recognized	
§1245 Depreciation Recapture	Ordinary Income = Lesser of (Gain Realized, Accumulated Depreciation)	Applies to personal property — all depreciation recaptured as ordinary income
S Corp Shareholder Basis	Beginning Basis + Income + Capital Contributions	Losses limited to stock basis + direct loans to corporation
	Distributions	
	Losses	
Partnership Outside Basis	Beginning Basis + Income + Contributions + Share of Liabilities	Partners include their share of all partnership liabilities (recourse and nonrecourse)
	Distributions	
	Losses	
AMT Formula	AMTI - AMT Exemption $\times$ 26%/28% = Tentative Minimum Tax; AMT = TMT - Regular Tax (if positive)	

Foreign Tax Credit Limitation	$(\text{Foreign Source Taxable Income} \div \text{Worldwide Taxable Income}) \times \text{U.S. Tax Liability}$	Computed separately for each basket (general and passive). Excess credits carry back 1 year, forward 10 years.
Net Investment Income Tax (NIIT)	$3.8\% \times \text{Lesser of (Net Investment Income, MAGI Threshold)}$	Thresholds: \$200K single, \$250K MFJ, \$125K MFS. Not indexed for inflation.
Social Security Taxability	$\text{Provisional Income} = \text{AGI} + \text{Tax-Exempt Interest} + 50\% \text{ of SS Benefits}$	Single: <\$25K = 0%, \$25K–\$34K = up to 50%, >\$34K = up to 85%. MFJ: <\$32K = 0%, \$32K–\$44K = up to 50%, >\$44K = up to 85%.
Section 382 NOL Limitation	$\text{Annual Limit} = \text{FMV of Loss Corp Stock (pre-change)} \times \text{Long-Term Tax-Exempt Rate}$	Triggered by >50 percentage point ownership change in 3-year period. Limits post-change use of pre-change NOLs.

Reference Tables

Filing Status — Standard Deduction (2026)

Filing Status	Standard Deduction	Additional (Age 65+ / Blind)
Single	\$15,000	\$2,000 each
Married Filing Jointly	\$30,000	\$1,600 each
Married Filing Separately	\$15,000	\$1,600 each
Head of Household	\$22,500	\$2,000 each

Entity Comparison — Key Tax Characteristics

Feature	C Corp	S Corp	Partnership	Sole Prop
Tax form	1120	1120-S	1065	Schedule C
Entity-level tax	Yes (21%)	No	No	No
Pass-through	No	Yes (K-1)	Yes (K-1)	Yes (Sch C)
SE tax on owners	No	No (wages instead)	Yes (general partners)	Yes
Loss limitations	NOL rules	Stock + debt basis	Outside basis + at-risk + PAL	At-risk + PAL
Max shareholders/partners	Unlimited	100	Unlimited	1
Basis includes entity debt	N/A	No (direct loans only)	Yes (all liabilities)	N/A

Property Transaction — Characterization

Asset Type	Holding Period	Gain Treatment	Loss Treatment
Capital asset	≤1 year	STCG (ordinary rates)	STCL
Capital asset	>1 year	LTCG (preferential rates)	LTCL
§1231 property	>1 year (net gain)	LTCG	N/A
§1231 property	>1 year (net loss)	N/A	Ordinary loss
§1245 property	Any	Ordinary (up to depr.); excess is §1231	Ordinary loss
Inventory / AR	Any	Ordinary income	Ordinary loss

Key Itemized Deductions (Schedule A)

Category	Deduction	Limitation
Medical	Unreimbursed medical expenses	Exceeds 7.5% of AGI
Taxes	State/local income or sales + property taxes	SALT cap: \$10,000
Interest	Home mortgage interest	On up to \$750K of acquisition debt
Charitable	Cash to public charities	60% of AGI

Charitable	Capital gain property to public charities	30% of AGI
Casualty	Federally declared disaster losses	Exceeds \$100 per event + 10% AGI

MACRS Recovery Periods — Common Property Classes

Class	Property Examples	Method	Convention
3-year	Tractor units, racehorses, qualified rent-to-own property	200% DB	Half-year
5-year	Automobiles, computers, office machinery, research equipment	200% DB	Half-year
7-year	Office furniture, fixtures, agricultural structures	200% DB	Half-year
15-year	Land improvements (fences, parking lots, landscaping)	150% DB	Half-year
27.5-year	Residential rental property	Straight-line	Mid-month
39-year	Nonresidential real property (office, warehouse, store)	Straight-line	Mid-month

Seven Material Participation Tests (Reg. §1.469-5T)

Test	Requirement
1	More than 500 hours during the tax year
2	Taxpayer's participation constitutes substantially all participation
3	More than 100 hours and no other individual participated more
4	Significant participation activities (>100 hrs each) aggregate to >500 hrs
5	Materially participated in any 5 of the prior 10 tax years
6	Personal service activity — materially participated in any 3 prior years
7	Based on all facts and circumstances, regular, continuous, and substantial participation

AET vs. PHC Tax Comparison

Feature	Accumulated Earnings Tax	Personal Holding Company Tax
Rate	20%	20%
Trigger	Accumulating E&P beyond reasonable business needs	Stock + income tests met
Stock test	None specific	>50% owned by 5 or fewer individuals
Income test	None specific	e60% of AOGI is PHC income
Avoidance	Demonstrate reasonable business needs or pay dividends	Pay dividends to reduce undistributed PHC income
Self-assessed	No — IRS asserts	Yes — self-reported on Schedule PH

S Corp AAA Ordering Rules (with Accumulated E&P)

Priority	Source	Tax Treatment
1st	Accumulated Adjustments Account (AAA)	Tax-free (previously taxed S corp income)
2nd	Accumulated E&P (from C corp years)	Taxable dividend
3rd	Remaining stock basis	Tax-free return of capital
4th	Excess over basis	Capital gain

Statute of Limitations — Assessment Periods

Scenario	Period	Key Rule
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General rule	3 years	From later of filing date or due date (with extensions)
Early-filed return	3 years from due date	Statute runs from due date, not early filing date
>25% gross income omission	6 years	Gross income = gross receipts for business; adequate disclosure prevents extension
Fraudulent return filed	Unlimited	Intent to evade tax — IRS can assess at any time
No return filed	Unlimited	Statute never begins to run
Refund claim by taxpayer	Later of 3 years from filing or 2 years from payment	Refund limited to tax paid within applicable look-back period
Collection after assessment	10 years	From date of assessment

Preparer Penalty Summary — Sections 6694 and 6695

Penalty	Trigger	Amount	Defense
§6694(a)	Unreasonable position (undisclosed: fails substantial authority ~40%)	Greater of \$1,000 or 50% of preparer income	Reasonable cause and good faith
§6694(a) — disclosed	Disclosed position fails reasonable basis (~20%)	Greater of \$1,000 or 50% of preparer income	Reasonable cause and good faith
§6694(a) — tax shelter	Tax shelter position fails more likely than not (>50%)	Greater of \$1,000 or 50% of preparer income	Reasonable cause and good faith
§6694(b)	Willful or reckless conduct	Greater of \$5,000 or 75% of preparer income (reduced by 6694(a))	No defense available
§6695 — admin	Failure to sign, furnish PTIN, provide copy, retain records	\$55 per failure (max \$28,000/year per category)	Reasonable cause
§6695(g) — due diligence	Failure to meet EIC/CTC/AOTC/HOH due diligence	\$600 per credit per return	Reasonable cause

UCC Article 9 — Priority Rules Summary

Competing Interests	Rule	Winner
Perfected vs. unperfected	Perfected always wins	Perfected creditor
Perfected vs. perfected	First to file or perfect (whichever earlier)	Earlier filer/perfector
Unperfected vs. unperfected	First to attach	Earlier attachment
PMSI (non-inventory) vs. prior perfected	PMSI perfected within 20 days of debtor's possession	PMSI holder (super-priority)
PMSI (inventory) vs. prior perfected	PMSI perfected before delivery + notice to prior secured parties	PMSI holder (super-priority)
Perfected vs. lien creditor	Perfected before lien attaches	Perfected creditor
Buyer in ordinary course (BIOC) vs. perfected	BIOC takes free of SI created by seller	BIOC (regardless of knowledge)

Filing Status — Requirements and Benefits (2026)

Filing Status	Key Requirement	Standard Deduction	Best For
Single	Unmarried on Dec 31, not HOH/QSS eligible	\$15,375	Unmarried with no qualifying person
MFJ	Married on Dec 31; both agree to file jointly	\$30,750	Most married couples (widest brackets)
MFS	Married on Dec 31; files separate return	\$15,375	Limiting liability; high medical deductions
HOH	Unmarried + >50% home costs + qualifying person	\$23,100	Unmarried parent or caretaker
QSS	Spouse died in prior 2 years + dependent child at home	\$30,750	Recent widow(er) with dependent child

Dependency Tests — Qualifying Child vs. Qualifying Relative

Test	Qualifying Child	Qualifying Relative
Relationship	Son, daughter, sibling, step/foster, or their descendants	Related person OR member of household for full year
Age	Under 19 (or under 24 if full-time student; any age if disabled)	No age requirement
Residency	Lived with taxpayer more than half the year	Relationship OR lived with taxpayer full year
Support	Child did NOT provide more than half own support	Taxpayer provided MORE than 50% of support
Gross income	No gross income test	Person's gross income < \$5,200 (2026)
Joint return	Cannot file joint return (with exceptions)	Cannot file joint return (with exceptions)
Citizenship	U.S. citizen/national/resident or Canada/Mexico resident	U.S. citizen/national/resident or Canada/Mexico resident

Mnemonics

I SAID

Interest (tax-exempt), State/local tax refunds (if didn't itemize), Alimony (post-2018), Inheritances, Damages (physical injury)

Common exclusions from gross income under §61. If you I SAID it's excluded, it's not taxable.

ACID

Alimony (pre-2019), Contributions to IRA, Interest on student loans, Deduction for 50% SE tax

Major above-the-line deductions (adjustments to gross income). These reduce AGI like ACID dissolves income.

HIT DISC

Holding period >1 year, Investment or business use, Title to real property, Domestic property, In exchange for like-kind, Same taxpayer, Contemporaneous identification (45 days)

Requirements for §1031 like-kind exchange qualification.

DUST

Domestic corporation, Under 100 shareholders, Single class of stock, The right type of shareholders (individuals, estates, certain trusts)

S Corporation eligibility requirements. If you can't pass the DUST test, you can't elect S status.

DIME

Distributions reduce basis, Income increases basis, Minus losses (limited to basis), Excess losses suspended

S Corp shareholder basis ordering rules. Remember to follow the DIME when tracking basis.

SID BURNS

Salary/wages, Interest, Dividends, Business income, Unemployment comp, Rents/royalties, Notional income (partnerships K-1), Social security (up to 85%)

Common items included in gross income. SID BURNS through your money with taxes.

WATER

Wages (administrative expenses first), Alimony/child support, Taxes (federal and state), Employee claims (up to statutory limit), Remaining general unsecured creditors

Simplified priority of claims in Chapter 7 bankruptcy distribution. WATER flows downhill — pay from the top.

BARP

Basis limitation, At-risk limitation, (Passive) activity loss rules, (Excess business loss) Post-TCJA cap

The four-tier loss limitation order for S corp and partnership losses. Losses must pass each BARP gate before deduction.

HOT

Highly appreciated inventory (>120% of basis), Ordinary income recapture (§1245/§1250 depreciation), Trade receivables (unrealized receivables)

Section 751 hot assets in a partnership that trigger ordinary income treatment on sale of a partnership interest.

ERS

Exoneration (compel debtor to pay first), Reimbursement (recover from debtor after paying), Subrogation (step into creditor's shoes)

The three rights of a surety. ERS follows the timeline: Exoneration is pre-payment, Reimbursement is post-payment, Subrogation is post-full-payment.

VRAP

Value given, Rights in collateral, Authenticated security Agreement, (then) Perfect by filing

UCC Article 9 security interest lifecycle. First the interest attaches (VRA), then it is perfected (P) by filing a UCC-1 financing statement.